

Profit Niti AI CFO Report

1 Executive Overview — Business Health Assessment

High-level performance summary and key indicators

Performance Summary

The business generated strong profitability in Q1 FY25 with a Net Profit of ₹79.8 Crores on Revenue of ₹1,034 Crores, translating to a healthy 7.72% net margin. However, this profit is overshadowed by a severe cash flow problem, with operating activities consuming over ₹1,028 Crores, primarily due to a massive build-up in inventory and receivables. The company is heavily reliant on external financing, with debt constituting 72% of its total capital, to fund its operations and asset base.



Strengths & Positives

- **Strong Profitability:** Net Profit Margin of 7.72% and Operating Profit Margin of 7.38% indicate good core earnings.
- **High Return on Equity:** An exceptional ROE of 485.13%, though amplified by high debt.
- **Comfortable Interest Coverage:** Interest is covered 11.89 times by earnings, showing low near-term default risk.



Areas for Improvement

- **Critical Cash Flow Deficit:** Operating cash flow is negative ₹1,029 Crores, making the business dependent on lenders.
- **Poor Working Capital Management:** High Inventory (₹566 Cr) and Receivables (₹502 Cr) are locking up cash for 31.77 days.
- **High Financial Leverage:** Debt-to-Equity of 2.63 indicates significant reliance on borrowed funds.



CFO Recommendation

Priority Action

Immediately launch a working capital optimization program focused on reducing inventory levels and accelerating collections from receivables to unlock the over ₹1,000 Crores trapped in operations and break the dependency on external financing.